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Apple projects tariff
costs will hit \$1.1B next
quarter



Tariffs are projected to cost Apple \$1.1 billion in the July-to-September quarter, an uptick from the previous period, CEO Tim Cook said during the company's earnings call with investors Thursday.

Those cost projections, which are based on current rates and policies, could end up lower than expected as they did in the previous quarter. Apple incurred about \$800 million of tariff-related costs for the June quarter, less than the \$900 million estimate the company shared in May.

Cook said most of the tariffs levied against Apple stem from the International Emergency Economic Powers Act (IEEPA). IMAGE CREDITS: REVIN DUELSCH / STAFF / GETTY IMAGES Earlier this year, and amid a brewing trade war, the U.S. government and China agreed to a 30% tariff on imports from China. That trade agreement, which reduced "reciprocal" tariffs from 125% to 10% (plus the 20% duty against China related to fentanyl), stands until August 12.

While sales growth suggests fear of tariffs helped fuel sales, Cook downplayed the "pull forward" effect, noting that consumers were more motivated by the "strength of the product."

"If you look at iPhone, the 16 family grew double digits, as opposed to the 15 family from the year-ago quarter," Cook said on the call. "And so we did set an upgrade record ... I think it directly is because of the strength of the product."

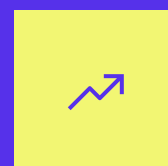
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Sales of the iPhone rose 13% year-over-year and generated [\\$44.5 billion in revenue](#) — nearly half of the entire company's total revenue this quarter, which reached \$94 billion.

Still, tariffs have had an impact and may continue to do so, even if Apple shifts its manufacturing strategy to countries with lower tariffs.

Apple devices are mainly manufactured in India, China, and Vietnam. Nearly half the iPhones sold in the U.S. are produced in India, while Macs, iPads, and watches bound for U.S. customers are made in Vietnam. Both India and Vietnam are subjected to tariffs of 25% and 20%, respectively.

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President Trump previously expressed his dismay at Apple shifting its supply chain focus more toward India, threatening the company with a 25% tariff unless Apple moved iPhone production to the U.S.

Cook reiterated Apple's commitment to the U.S. in Thursday's investors call, saying the company has

committed [\\$500 billion in investments](#) to the U.S.
over the next four years, building chips and
semiconductors across the country.

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Dominic-Madori Davis is a senior venture capital and startup reporter at TechCrunch. She is based in New York...

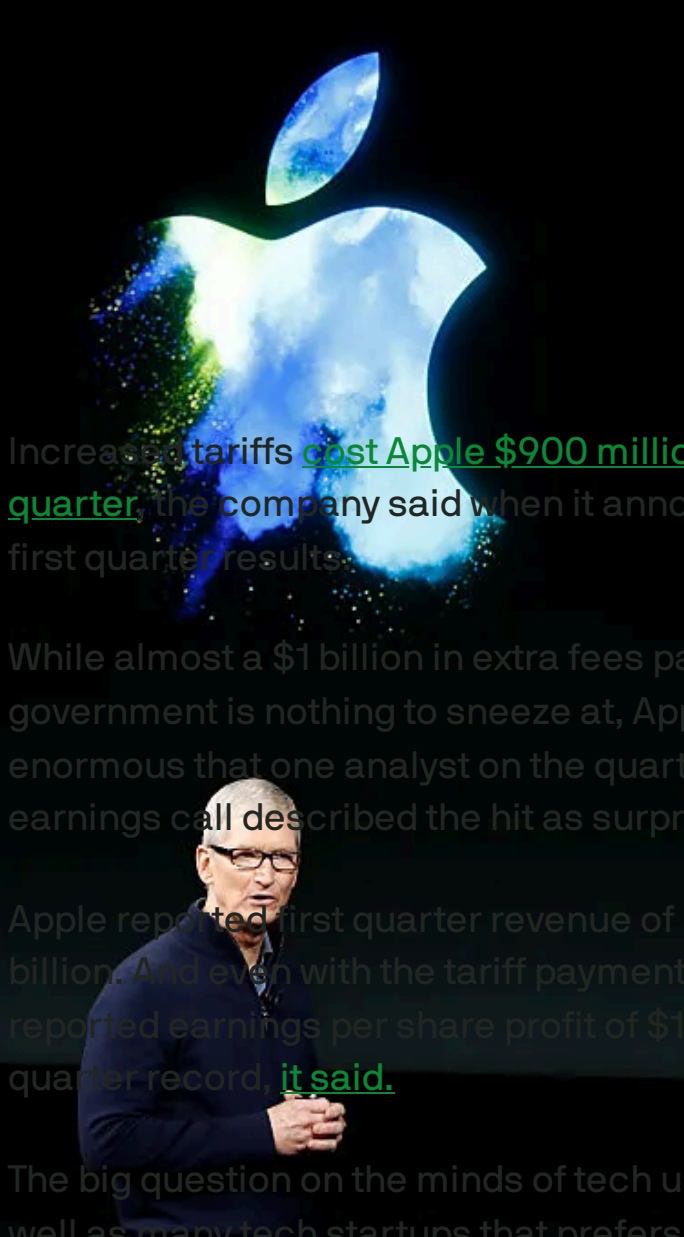
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Despite paying \$900M in
tariffs, Apple's Tim Cook
isn't announcing price
increases — yet



Increased tariffs cost Apple \$900 million last quarter, the company said when it announced solid first quarter results.

While almost a \$1 billion in extra fees paid to the government is nothing to sneeze at, Apple is so enormous that one analyst on the quarterly earnings call described the hit as surprisingly low.

Apple reported first quarter revenue of \$95.4 billion. And even with the tariff payment, it still reported earnings per share profit of \$1.65, a first-quarter record, it said.

The big question on the minds of tech users — as well as many tech startups that prefers to outfit employees with Macs — is if Cook foresees ongoing tariffs increasing Apple's prices.

At least as far as the next quarter is concerned, this is unlikely. When asked outright about tariff-induced price increases, Cook said he had “nothing to announce at this time.”

He explained that Apple is now importing a larger portion of its iPhones from India, rather than China, keeping the tariff hit reduced. As for Macs, a bigger portion of those are coming from Vietnam, he said. The devices produced in China are largely being sent to Apple's customers outside the U.S., he added.

The biggest hit in tariff costs for Apple, he said, was with the AppleCare and the accessories

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businesses — aka spare parts to fix a broken device covered under its warranty program, and things like iPhone cases. For those businesses, the tariff rate hit “at least 145%,” he said.



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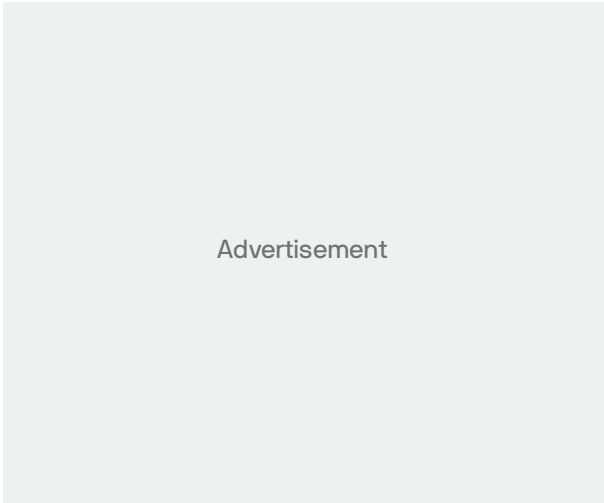
He didn’t imply that costs would be increased to cover that hit, yet, either.

But he did explain that Apple hasn’t been hit as hard as it could have been. That was largely because its products “including iPhone, Mac, iPad, Apple Watch and Vision Pro” aren’t currently subject “to global reciprocal tariffs” while [the Commerce Department conducts an investigation](#) into how tariffs affect imports of semiconductors and the products that use them.

So should consumers and startups buy their Macs now rather the later? Cook says Apple is doing what it can to keep costs in check, including influencing the tariff policy itself.

“Obviously, we’re very engaged on the tariff discussions. We believe in engagement and will continue to engage. On the pricing piece, we have nothing to announce today,” Cook said.

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Apple CEO Tim Cook says tariffs to add \$900M in costs in Q3, but future uncertain

Sarah Perez — 2:46 PM PDT · May 1, 2025

Apple CEO Tim Cook offered the company's first comments on the impact of President Trump's tariffs during Thursday's second-quarter earnings call with investors. While the iPhone maker saw only "limited impact" from tariffs in the March quarter, Cook said Apple couldn't forecast what that would mean for the coming quarter. However, if things remained the same, the company estimates tariffs will only add \$900 million to its costs in Q3.

The news was a relief to investors, with one even calling it a "pretty good outcome." However, investors were still concerned as to what the next quarters could hold, given the rapid changes to U.S. trade policy in recent weeks.

Cook told investors Apple's estimate was meant to provide some color and would only hold if the current global tariff rates, policies, and applications didn't change for the balance of the quarter and if no new tariffs were added.

He also warned that this estimate shouldn't be used to project the impact of tariffs in future quarters, as there are "unique factors" that benefit the June quarter.

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In [an interview with CNBC](#), Cook had downplayed the impact of tariffs, noting that Apple is already sourcing about half its iPhones for the U.S. from India, and most other products for the U.S. market from Vietnam.

When pressed by one investor to offer more details on the June quarter and beyond, Cook said, “I don’t want to predict the future, because I’m not sure what will happen with the tariffs.”

Cook added that he wouldn’t want to predict the mix of production in the future, but noted that he was very engaged with the tariff discussions. (That much was already clear. Shortly after a meeting with President Trump, [Apple’s iPhones were spared from the trade policy changes](#) that could have sent iPhone pricing soaring.)



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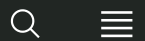
“For our part, we will manage the company the way we always have, with thoughtful and deliberate decisions, with a focus on investing for the long term, and with dedication to innovation and the

possibilities it creates,” Cook said. “As we look ahead, we remain confident, confident that we will continue to build the world’s best products and services, confident in our ability to innovate and enrich our users’ lives, and confident that we can continue to run our business in a way that has always set Apple apart.”

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Apple lowers guidance on Q1 results, cites China trade tensions



Apple CEO Tim Cook issued a [letter](#) today, revising guidance for the company's Q1 fiscal results. Per the letter, revenue has been shifted from an initial projection of between \$89 billion and \$93 billion to \$84 billion. The note highlights a number of reasons for dropping the number, including, perhaps most notably, lower than expected results in emerging markets.

"While we anticipated some challenges in key emerging markets, we did not foresee the magnitude of the economic deceleration, particularly in Greater China," Cook says in the letter. "In fact, most of our revenue shortfall to our guidance, and over 100 percent of our year-over-year worldwide revenue decline, occurred in Greater China across iPhone, Mac and iPad."

IMAGE CREDITS:
BERND THISSEN/AFP / GETTY IMAGES

Apple has invested a lot of future growth in markets like China, and a series of factors have made for disappointing results. Among them a slowed economy and tensions with the U.S. spurred on by tariffs that many believe will spur on a full-fledged trade war. In March, Cook [told the press](#) that he took up the issue of U.S. China relations [directly with Trump](#). China is not the only emerging market that has been an issue for Apple, however — India has also [been a tough nut for the company](#) to crack.

But that's only one piece of the puzzle here. As Cook notes in the letter, there have been fewer

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iPhone upgrades than expected. The executive notes, however, that non-phone categories (including the Mac, Apple Watch and iPad) did manage to grow 19 percent, but the smartphone has long been a driving force in the company's economic fortunes, so a blow to those sales can have a substantial impact on the company's bottom line.

2018 marked a major down year for smartphone numbers. In February, Gartner [recorded its first](#) year-over-year decline since it began tracking those numbers. Not even the mighty iPhone is immune from the larger trends. Prices are going up, phone quality has improved and new features haven't been enough to keep consumers to a shortened upgrade cycle. The industry at large is going through a reckoning as it grapples to determine the next major consumer electronics trend. Apple has continued to be a rare bright spot in a stagnant world of wearables, but the Watch alone isn't enough to right that ship.

"While China may have played a big role in the revenue miss the reality is nearly all smartphone markets are seeing a lengthening in replacement cycles and we should expect this to be the new normal," Ben Bajarin of [Creative Strategies](#), tells TechCrunch. "While price is what is being mentioned, I believe there would have still been softer iPhone sales even if prices were not raised due to consumers being content with their current phones and not as interested in the premium features coming out in the latest models."

The letter features an unusually dour tone from the chief executive, also placing some of the blame on supply chain constraints, shifting product release cycles and the strength of the U.S. dollar.

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But Cook rightly notes that Apple has been through plenty of tough times before. “As we exit a challenging quarter, we are as confident as ever in the fundamental strength of our business. We manage Apple for the long term, and Apple has always used periods of adversity to re-examine our approach, to take advantage of our culture of flexibility, adaptability and creativity, and to emerge better as a result.”

Analyst [Patrick Moorhead](#) says the downturn is neither unexpected, nor a reason for investors to panic. “The company is growing its services and ‘other’ categories, just not enough to drive overall revenue growth,” he told TechCrunch. “I am not concerned for the company, but it’s likely investors will not see the company value it was at until it can see a likely path to double-digit revenue growth.”

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Brian Heater was the Hardware Editor at TechCrunch until early 2025. He has worked for a number of leading tech...

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GOVERNMENT &
POLICY



Apple loses \$250B market value as tariffs tank tech stocks

Rebecca Bellan — 9:43 AM PDT · April 3, 2025

Apple lost more than \$250 billion in market value Thursday, with shares down as much as 8.5% as a result of President Donald Trump's [tariff spree](#).

The iPhone maker took one of the biggest hits on Wall Street, where tech stocks dropped as investors shifted money away from volatile assets. Tesla, Nvidia, and Meta were down 6%, and Amazon shares fell by 7.2%.

Trump unveiled sweeping tariffs Wednesday afternoon of at least 10% across the board, and even higher for some countries — China’s total tariff rate soared to 54% — that will go into effect April 5. Wedbush Securities analysts said the tariffs are “worse than a worst case scenario” for tech investors.

The White House insists the tariffs aren’t a negotiation tactic but a necessity to boost domestic manufacturing. The president called them a move to “liberate” the American economy.

Trump’s huge tariffs on imported goods to the U.S. affect all of Apple’s biggest suppliers and manufacturing hubs in Asia, from China to Taiwan, India to Vietnam, despite CEO Tim Cook’s efforts to court the administration. That means every model of iPhone, iPad, Mac, and accessory that Apple sells will be impacted.

Cook will either choose to hike up the cost for consumers or have Apple take the losses, wiping out tens of billions in potential profits.

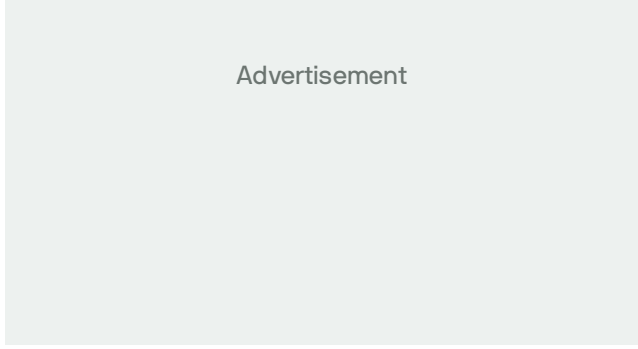
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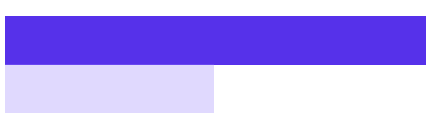
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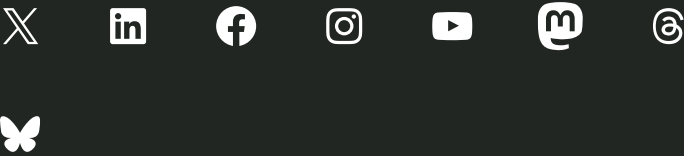


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